

Court No. - 21

Case :- WRIT - C No. - 3458 of 2024

Petitioner :- Devpati Devi

Respondent :- State Of Up And 2 Others

Counsel for Petitioner :- Ravi Prakash Singh Yadav, Arvind Kumar Yadav

Counsel for Respondent :- C.S.C., Udit Chandra

Hon'ble Manoj Kumar Gupta, J.

Hon'ble Kshitij Shailendra, J.

1. The instant petition is directed against the demand notice dated 26.05.2022 issued by respondent No. 3 calling upon the petitioner to deposit Rs.6,60,000/- as compounding fee and Rs.6,69,246/- as the amount assessed against her for unauthorized use of electricity.

2. The notice mentions that in case the amount is not deposited by the petitioner, the respondent would take further steps for recovery of the said amount through District Magistrate, Ghazipur.

3. Shri Udit Chandra, learned counsel appearing for the respondent- Electricity Department, is in receipt of instructions. He states that the impugned order is the only order passed by the respondent-Electricity Department in the instant case. According to him, it is a "provisional assessment order". However, we are not ready to accept the submission. The notice in question, by no stretch of imagination, can be treated to be a notice of provisional assessment as, instead of giving opportunity to the petitioner to file objection, it calls upon the petitioner to pay the aforesaid amounts failing which the same would be recovered through the District Magistrate.

4. Shri Udit Chandra also tried to convince the Court that subject of the impugned order mentions the word "summon" and, therefore, the Department, by issuing such summon, has only called upon the petitioner and, hence, the order impugned cannot be said to be a final demand raised against the petitioner.

5. We are not inclined to accept even this submission. "Summons" in any proceedings, can be issued for various purposes such as calling a person to produce some documents or to make his say in the matter or to show cause to a particular cause of action arising against him or to attend such proceedings. The impugned order dated 26.05.2022, even if it is treated as a summon, cannot be said to be a summon calling upon the petitioner to file objections or make a say in relation to the demand raised but it is clearly an

order directing the petitioner to deposit the aforesaid sum of money, failing which, she shall be subject to recovery proceedings through Collector, Ghazipur.

6. Time and again this Court has been coming across such kind of cases where the officials of the Electricity Department are issuing recovery notices without following the procedure prescribed under Section 126 of the Electricity Act, 2003 and under the U.P. Electricity Supply Code, 2005.

7. In the year 2022-23, this Court, while hearing Writ-C No.35257 of 2022 (Shwetanshu Kumar Ojha Vs. State of U.P. and 6 others), passed various orders, one after another, taking into consideration the conduct of the officials of Purvanchal Vidyut Vitran Nigam Limited being in violation of the procedure prescribed under the U.P. Electricity Supply Code, 2005. By an order dated 12.01.2023, the Court directed personal appearance of the Managing Director of the Nigam. He appeared in person on 18.01.2023 and filed an affidavit stating that he had issued a Circular Letter dated 09.01.2023 instructing the concerned officials to strictly follow the provisions of U.P. Electricity Supply Code, 2005 in making assessment in cases of theft/ unauthorized use of electricity. It was also stated in the affidavit that certain disciplinary proceedings were in progress against six officials who had been found prima facie guilty of not complying with the provisions of law and dereliction of duties. The Managing Director gave an undertaking through the learned Additional Advocate General that the data in respect of cases in which provisions of the Code had not been complied with, will be supplied to the Court within three weeks and also stated that the Department was examining each case and action against the officials found guilty of dereliction of duties and not following the procedure prescribed under law would be taken against them.

8. We find that the undertaking given to this Court is being violated with impunity. Surprisingly, this case also arises out of an action on the part of the officials of Purvanchal Vidyut Vitran Nigam Limited. This Court takes a very serious view of the matter and feels it appropriate to remind the officials that violation of an undertaking given to the Court amounts to "Civil Contempt" as per Section 2(b) of the Contempt of Courts Act, 1971.

9. During the course of arguments, Sri Rajiv Gupta, learned Additional Chief Standing Counsel, appearing for the State of U.P. submitted that the matter may be referred to the concerned Ministry so as to issue an appropriate Circular laying down

guidelines to be followed by the officials of the Electricity Department.

10. The Court is not willing to accept such a suggestion, inasmuch as, the provisions of the Electricity Act, 2003 and U.P. Electricity Supply Code, 2005 are sufficient for the purposes of discharge of duties and performance of functions and for following the procedure laid down therein and it is not always desirable to lay down separate guidelines in the form of Circulars etc for every action to be performed by the officials of any Department. There is another reason for not accepting the suggestion made by Sri Rajiv Gupta, that is the Managing Director had already brought on record the Circular dated 09.01.2023 issued to the officials in the proceedings of Writ-C No.35257 of 2022 (Shwetanshu Kumar Ojha Vs. State of U.P. and 6 others).

11. In view of the above discussion, the Court is convinced that if the officials are still not acting as per the undertaking given by the Managing Director before this Court, the Managing Director is vicariously liable for violation of law done by the officials under his supervision and control in the administrative hierarchy.

12. However, before proceeding further in the matter, we require the Managing Director, Purvanchal Vidhyut Vitran Nigam Ltd., Lucknow to file his personal affidavit and disclose why the procedure prescribed under the Act and Code is not being followed by the officers of the Electricity Department and what action he proposes to take against the erring officers. He will also indicate what action he has taken so far to get such cases reviewed.

13. List as fresh on 6 March 2024.

14. Shri Udit Chandra, learned counsel appearing for the respondent, Electricity Department, will communicate the instant order to the concerned officer for due compliance.

Order Date :- 21.2.2024
Mukesh Kr./AKShukla/-

(Kshitij Shailendra,J.) (Manoj Kumar Gupta,J.)

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Counsel for Respondent :- C.S.C.,Udit Chandra

Hon'ble Manoj Kumar Gupta,J.

Hon'ble Kshitij Shailendra,J.

1. Short counter affidavit filed today on behalf of respondent No. 3 is taken on record. In compliance of our previous order, an affidavit of compliance on behalf of respondent No. 2 filed today, is also taken on record.

2. Perused the affidavit filed by the Managing Director, Purvanchal Vidhyut Vitran Nigam Ltd. Varanasi. After going through the said affidavit, we are not at all satisfied that any proper monitoring is being done to ensure compliance of Clause 6.8 of the Electricity Supply Code, 2005 and other statutory provisions. Almost on daily basis, a number of cases are coming up before this Court alleging violation of the procedure and on account of which this Court has to interfere. This also results in loss of revenue to the public exchequer.

3. Shri M.C. Chaturvedi, learned Senior Counsel assisted by Shri Udit Chandra appearing for the department seeks two weeks' time to file better affidavit of the Managing Director, Purvanchal Vidhyut Vitran Nigam Ltd. disclosing the mode of monitoring the cases of assessments and the details of the action taken in such cases qua the consumer as well as against erring officers.

4. Accordingly, adjourned to 1 April 2024, as a fresh case along with all connected cases.

In all connected cases where interim order is in operation, it will remain in force till the next date.

Order Date :- 6.3.2024

Mukesh Kr.

(Kshitij Shailendra,J.)

(Manoj Kumar Gupta,J.)

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Hon'ble Manoj Kumar Gupta, J.

Hon'ble Kshitij Shailendra, J.

1. The Managing Director, Purvanchal Vidyut Vitran Nigam Limited has filed his affidavit from which atleast this much is clear that despite various directions issued in the past in different petitions to ensure proper monitoring and action against erring officers in assessment cases, no proper monitoring was done. Now, an assurance has been given that proper monitoring will be done and it has also been stated that a circular has been issued requiring the assessment officers to strictly follow the procedure prescribed under Clause 6.8/8.1 of the U.P. Electricity Supply Code, 2005 and to pass speaking orders while passing the final assessment orders.

2. Few instances, where notices have been issued to the erring officers, after we had taken cognizance, have been annexed. However, the affidavit is silent in relation to any proper procedure being devised for identifying the officers.

3. Unlike in case of Dakshinanchal Vidyut Vitram Nigam Limited where the Managing Director had constituted a committee of three officers to identify employees/officers responsible for not following the procedure prescribed and for recommending action, no action in same direction has been taken by the present DISCOM.

4. Shri M.C. Chaturvedi, learned Additional Advocate General appearing for the respondent-DISCOM seeks two weeks' further time and assures the Court that the erring officers would be identified and the action taken/proposed against them would be brought on record in a tabular form. He further states that the monitoring in theft cases would be done through Raid Management System, where inspection reports and all proceedings would be uploaded. On suggestion of the Court that the inspection report and other materials as well as notices of provisional assessment should be made accessible to the accused persons

through the said system, he submits that if there is no such provision in the system, the respondent-Corporation would consider the suggestion and try to implement it. He assures the Court that the officers would be given training in respect of the compliances to be made in terms of Clause 6.8 particularly sub-clauses (b)(i) and (c)(i) whereunder the requirement is to give fifteen days' clear notice to the consumer to submit reply and to appear for hearing on the date and time to be fixed and duly communicated to him.

5. As prayed, the matter is adjourned for two weeks.

6. List as fresh on **18.04.2024**.

7. The Managing Director of the concerned DISCOM will file his affidavit on all the aforesaid aspects.

8. The Managing Director, Purvanchal Vidyut Vitran Nigam Limited will also appear on the next date through video conferencing to answer the queries of the Court.

(Kshitij Shailendra, J.) (Manoj Kumar Gupta, J.)

Order Date :- 1.4.2024

Ankit.

Court No. - 21

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Counsel for Petitioner :- Arvind Kumar Yadav, Ravi Prakash Singh Yadav

Counsel for Respondent :- C.S.C., Udit Chandra

Hon'ble Manoj Kumar Gupta, J.

Hon'ble Kshitij Shailendra, J.

1. Third affidavit of compliance filed on behalf of respondent No. 2, is taken on record.

2. In compliance of our previous order, the Managing Director, Purvanchal Vidyut Vitran Nigam Ltd. Varanasi, has filed his affidavit and has also participated in the Court proceedings through video conferencing.

3. It is stated in the affidavit that a revised SOP was issued on 16.04.2024 laying down the guidelines to be followed by the Assessing Officer while making assessment under Section 126 of the Electricity Act, 2003. It is also stated that online conference was held on 26.03.2024 to train and sensitize the officers of their statutory responsibility in dealing with assessment cases and the possibility of loss to the State exchequer where procedure prescribed is not followed. The Managing Director in his affidavit has also delineated the main features of the SOP, which are as follows:

"1. The inspection has to be carried out as per Clause 4.30 to 4.34 of Electricity Supply Code.

2. Videography of the entire incidence of theft is mandatory.

3. Properly filling of the inspection report.

4. Proper service of inspection report to the assessee and in case there is denial, the same should be pasted at assessee premises.

5. Registration of FIR within 24 hours of the incidents.

6. Uploading these documents on RMS (Raid Management System).
 7. A mandatory provisional assessment of 21 working days requirement is necessary prior to hearing the objections of the assessee.
 8. Issuance of format of provisional assessment/notice.
 9. Hearing of the objections submitted, written and orally by assessee.
 10. Passing a detailed speaking order and deciding the final assessment against the consumer.
 11. Uploading the provisional assessment and final assessment on the RMS portal.
 12. A dual monitoring mechanism has been developed where a pyramid style monitoring will be done by SE over EE, CE over SE, Director over CE. This monitoring will be done almost monthly.
 13. The second monitoring will be done by a committee, which will directly report to the Director (Commercial). This monitoring is spontaneous and is like a surprise monitoring.
 14. The role of both the monitoring mechanisms is so that the proper following of the Electricity Supply Code should be done as well as those officers who have not complied with the provisions, the same should be held accountable."
4. It is also stated that show-cause notices have been issued to four executive engineers who were found not to have followed the procedure prescribed and the Court has been assured that the proceedings against them will be taken to logical conclusion. It is further pointed out that as per the new procedure there would be monitoring of all assessment cases at different levels. A three member committee has also been constituted on 02.04.2024 to examine the cases in which the procedure had not been followed and to recommend necessary action.
5. We expect that the Managing Director of the concerned DISCOM and other Senior Officers will do proper monitoring so that in future cases where proper procedure is not followed, are identified and action is taken accordingly.
6. In respect of the impugned demand based on order dated 26.05.2022, the stand of the Electricity Department is that the same has been withdrawn. The petitioner has been issued a fresh notice and after hearing her, a fresh order will be passed.
7. Having regard to the aforesaid stand, we are of the opinion that the grievance

urged stands redressed and no further direction is required to be issued except for the clarification that the respondents may now proceed strictly in accordance with law.

8. The petition stands **disposed of**.

Order Date :- 18.4.2024

Mukesh Kr.

(Kshitij Shailendra,J.) (Manoj Kumar Gupta,J.)